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MARKET FUNDAMENTALS

	YOY Chg	Outlook
$91,100 Median HH Income	▲	▲
1.0% Population Growth	▼	▲
3.6% Unemployment Rate	▲	▲

Source: BLS

ECONOMIC INDICATORS

	YOY Chg	Outlook
0.7% GDP Growth	▼	▲
1.6% Consumer Spending Growth	▼	▲
-0.4% Retail Sales Growth	▼	—

Source: BEA, Census Bureau

ECONOMY: KEY INDICATORS SIGNAL CONTINUED GROWTH

In Q3 2025, the Phoenix Metro reported an employment level of 2.5 million, with nearly 32,600 jobs added since the end of Q3 2024. While the unemployment rate bumped up from 3.3% to 3.6% over that period, it remained well-below the national average of 4.3% and ranked third-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, as the median household income increased by 3.2% year-over-year (YOY) to $91,100. Population growth also outpaced the national trend, however, the 1.0% YOY increase marked a deceleration from previous quarters. Meanwhile, Phoenix's GDP growth accelerated from 1.8% in Q3 2024 to 2.7% in Q3 2025, further reinforcing the Metro's positive economic momentum.

DEMAND: HEALTHY ABSORPTION SUPPORTS STABLE VACANCY

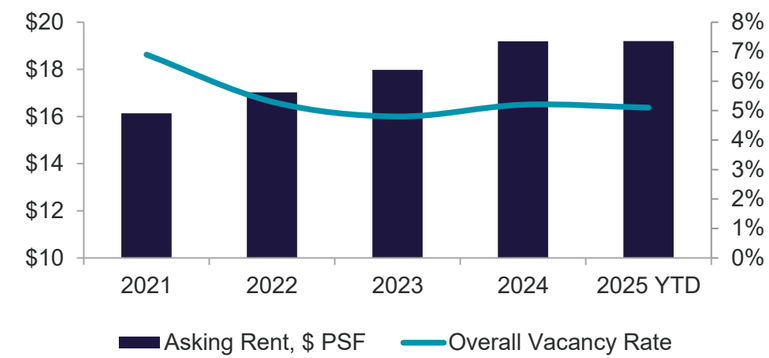
The Phoenix retail market remained stable in Q3 2025, with supply and demand in equilibrium. Overall vacancy held firm at 5.1% for the third straight quarter and bumped up by just 10 basis points (bps) YOY. The East Phoenix and Northwest Phoenix submarkets led the overall Metro with QOQ vacancy declines of 90 bps and 40 bps, respectively, helping offset a 100-bps increase in Mesa.

The Metro registered 208,480 square feet (sf) of positive absorption in Q3, pushing the year-to-date (YTD) total to 837,900 sf. This level of demand represents a 60% increase compared to the first three quarters of 2024, with three submarkets — Northwest Phoenix (350,724 sf), Southeast Valley (316,574 sf) and Tempe (304,100 sf) — underpinning the Metro's overall performance. Still, demand was generally widespread, with seven out of 11 submarkets noting positive absorption YTD, compared to just five at the same time last year.

PRICING: AVERAGE ASKING RENT CONTINUES TO CLIMB

The overall average asking rate grew by 2.9% YOY to $19.20 per square foot (psf) on an annual triple net basis in 3Q 2025. This increase was primarily driven by the East Phoenix and Southeast Valley submarkets, which both reported double-digit percentage rent growth. In the quarter, the Scottsdale submarket maintained the highest asking rate in the Metro, at $28.34 psf, while Southwest Phoenix continued to have the lowest average asking rate at $11.64 psf.

ASKING RENT / VACANCY RATE



SPACE DEMAND / DELIVERIES

Source: CoStar

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	SUBLET VACANT (SF)	DIRECT VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	OVERALL AVG ASKING RENT (NNN)*
Northwest Phoenix	28,452,758	34,167	989,100	3.6%	135,172	350,724	400,974	314,607	$18.87
Southwest Phoenix	3,985,731	1,898	206,111	5.2%	44,882	11,789	32,460	84,000	$11.64
North I-17	18,637,485	12,812	1,325,189	7.2%	-55,924	-126,918	389,309	15,720	$16.22
North Central Phoenix	10,029,852	15,939	440,453	4.6%	-2,040	90,361	237,493	102,800	$19.14
Scottsdale	14,573,618	13,460	635,200	4.5%	45,194	38,449	272,457	0	$28.34
Mesa	8,181,657	4,661	862,276	10.6%	-83,628	-183,862	288,664	4,000	$13.33
Southeast Valley	38,790,860	11,429	1,873,603	4.9%	-61,078	316,574	829,694	275,830	$21.75
Tempe	6,992,337	0	269,332	3.9%	158,971	304,100	54,323	0	$18.61
Sky Harbor Airport	1,125,220	1,518	46,665	4.3%	-2,173	-3,367	18,007	0	$16.73
East Phoenix	4,768,192	0	198,856	4.2%	42,696	48,259	58,958	0	$19.78
CBD	403,531	0	29,731	7.4%	-13,592	-8,209	4,558	0	$33.96
PHOENIX TOTALS	**135,941,241**	**95,884**	**6,876,516**	**5.1%**	**208,480**	**837,900**	**2,586,897**	**796,957**	**$19.20**

** Rental rates reflect Triple Net asking $PSF/Year*

KEY LEASE TRANSACTIONS Q3 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
Vineyard Towne Center	Southeast Valley	Target	145,000	Direct
Stapley Square	Mesa	Amped Fitness	57,526	Direct
Cooper Village	Mesa	EOS Fitness	43,723	Direct
Cactus Crossings	Northwest Phoenix	Secondhand Antiques	37,546	Direct
Chandler Uptown Square	Southeast Valley	Shine Bright Academy	24,870	Direct

KEY SALE TRANSACTIONS Q3 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Stetson Village	North I-17	Pederson Group & Niki Group / Longpoint Realty	165,080	$71.0M / $430
Las Tiendas Village	Southeast Valley	Vestar / Nuveen	208,880	$54.5M / $261
Deer Valley Towne Center	North I-17	SITE Centers / Sterling Organization	151,778	$33.7M / $222
SanTan Village III	Southeast Valley	TSM Ventures / Spencer's TV & Appliances	106,603	$26.3M / $246
Crossroads Towne Center	Southeast Valley	Mark IV Capital / Big Ben Private Real Estate Fund	153,094	$26.1M / $171

Sources: Costar, MSCI Real Capital Analytics, Vizzda

KEY CONSTRUCTION COMPLETIONS YTD 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
Sam's Club – Tempe Marketplace	Tempe	Sam's Club	150,000	Vestar
Target – Vineyard Towne Center	Southeast Valley	Target	145,000	Woodbine Development Corp.
EOS – Hudson Station	Southeast Valley	EOS Fitness	61,000	Barclay Group

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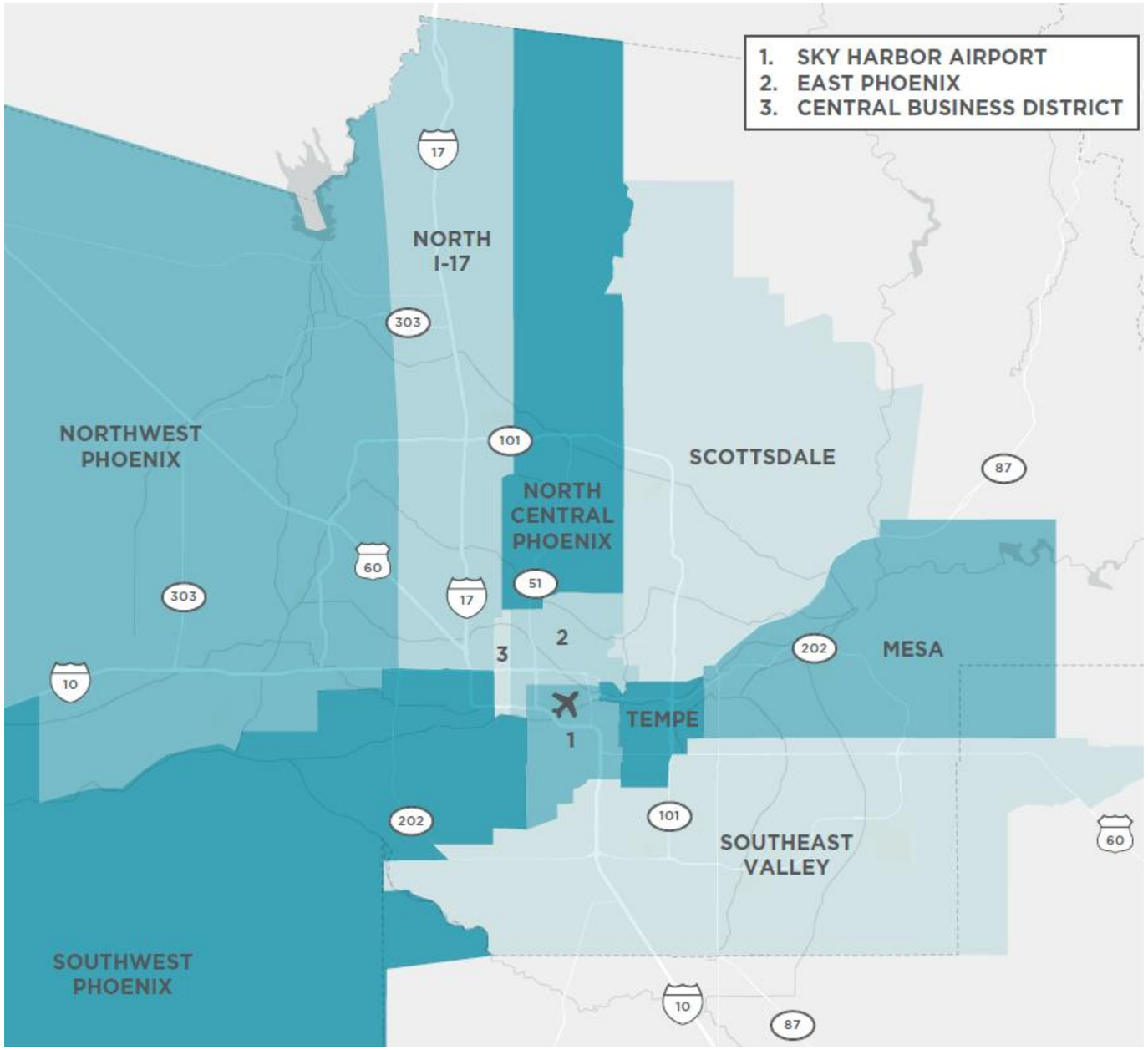
RETAIL SUBMARKETS



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